SAP Beginner Cheat-Sheet

Episode 1 of the free SAP S/4HANA course | The Productivity Architect | youtu.be/uzf2zVRuhIw

1. What is an ERP?

ERP = Enterprise Resource Planning. One shared "notebook" that sales, purchasing, production, finance and HR all write into, in real time. **SAP** (German company, founded 1972 in Walldorf by 5 former IBM engineers) is the best-known ERP vendor. SAP revenue 2025: EUR 36.8 bn.

2. SAP modules

Module	Stands for	What it covers
FI	Financial Accounting	Official books, profit and loss, reports for tax office and auditors
CO	Controlling	Internal view of money: product profit, department budgets
MM	Materials Management	Buying and stock: purchase orders, suppliers, goods receipt
SD	Sales and Distribution	Customer orders, deliveries, invoices
PP	Production Planning	What to make, how much, and when
HR (HCM)	Human Capital Mgmt	Employees, payroll, time

One action, many departments: a sales order in SD moves stock in MM, plans production in PP, and lands revenue in FI and CO. Zero retyping.

3. Master data vs transactions

	Master data	Transactions
What	Stable information: customers, suppliers, materials, bank accounts	Daily events: a sale, a purchase, a payment
Analogy	Your phone contact list	The calls and messages you make
Why it matters	Bad master data is the number 1 source of pain in SAP projects	Every transaction uses master data, so errors spread

4. ECC vs S/4HANA

	ECC 6.0 (legacy)	S/4HANA
Database	Any database, disk-based; many duplicate and summary tables	SAP HANA, in-memory; reports in seconds, fewer tables
Finance data	FI and CO kept in separate tables, matched each month	Universal Journal: one single table, one source of truth
User interface	SAP GUI: classic grey screens, transaction codes	SAP Fiori: web tiles, works in browser and tablet
Deployment	Mostly on-premise	On-premise or cloud (RISE with SAP = software + hosting + support)

5. Key dates

1972	SAP founded	**2005**	ECC 6.0 released
2015	S/4HANA launched	**2027**	ECC mainstream maintenance ends
2030	End of extended maintenance (paid)	**~35,000**	Companies on ECC (Gartner est.)

6. 10 key terms

ERP	One shared system for the whole company	**ECC**	ERP Central Component, the legacy SAP ERP (ECC 6.0, 2005)
SAP	German ERP vendor, founded 1972	**S/4HANA**	Current SAP ERP, launched 2015, runs on HANA
Module	A "department" of SAP (FI, CO, MM, SD, PP, HCM)	**HANA**	SAP in-memory database
Master data	Stable records: customers, suppliers, materials	**Fiori**	Modern web user interface with tiles
Transaction	A daily business event posted in SAP	**RISE with SAP**	SAP package to move to S/4HANA in the cloud

Why it matters: thousands of companies must move from ECC to S/4HANA before the end of 2027, creating demand for people who understand both worlds. Watch the full course: youtube.com/@TheProductivityArchitectLab